Completing the Accounting Cycle

Chapter 4

Chapter 4 Learning Objectives

CONCEPTUAL
C1 Explain why temporary accounts are closed each period.
C2 Identify steps in the accounting cycle.
C3 Explain and prepare a classified balance sheet.

ANALYTICAL
A1 Compute the current ratio and describe what it reveals about a company's financial condition.

PROCEDURAL
P1 Prepare a work sheet and explain its usefulness.
P2 Describe and prepare closing entries.
P3 Explain and prepare a post-closing trial balance.
P4 *Appendix 4A* – Prepare reversing entries and explain their purpose.

Learning Objective

P1:
Prepare a work sheet and explain its usefulness.

Benefits of a Work Sheet

Aids the preparation of financial statements.

Reduces risk of errors.

Links accounts and their adjustments.

Not a required report.

Helps in preparing interim financial statements.

Shows the effects of proposed transactions.

Learning Objective P1: Prepare a work sheet and explain its usefulness.

Use of a Work Sheet

Five important steps:

Step 1: Enter Unadjusted Trial Balance

Step 2: Enter Adjustments

Step 3: Prepare Adjusted Trial Balance

Step 4: Sort Adjusted Trial Balance Amounts to Financial Statements

Step 5: Total Statement Columns, Compute Income or Loss, and Balance Columns

Learning Objective P1: Prepare a work sheet and explain its usefulness.

Use of a Work Sheet

Exhibit 4.1

FastForward
Work Sheet
For Month Ended December 31, 2017

No.	Account (1)	Unadjusted Trial Balance Dr.	Unadjusted Trial Balance Cr.	(2) Adjustments Dr.	Adjustments Cr.	(3) Adjusted Trial Balance Dr.	Adjusted Trial Balance Cr.	(4) Income Statement Dr.	Income Statement Cr.	Balance Sheet & Statement of Owner's Equity Dr.	Balance Sheet & Statement of Owner's Equity Cr.
101	Cash	4,275				4,275				4,275	
106	Accounts receivable	0		(f) 1,800		1,800				1,800	
126	Supplies	9,720			(b) 1,050	8,670				8,670	
128	Prepaid insurance	2,400			(a) 100	2,300				2,300	
167	Equipment	26,000				26,000				26,000	
168	Accumulated depreciation—Equip.				(c) 300		300				300
201	Accounts payable		6,200				6,200				6,200
209	Salaries payable				(e) 210		210				210
236	Unearned consulting revenue		3,000	(d) 250			2,750				2,750
301	C. Taylor, Capital		30,000				30,000				30,000
302	C. Taylor, Withdrawals	200				200				200	
403	Consulting revenue		5,800		(d) 250		7,850		7,850		
					(f) 1,800						
406	Rental revenue		300				300		300		
612	Depreciation expense—Equip.			(c) 300		300		300			
622	Salaries expense	1,400		(e) 210		1,610		1,610			
637	Insurance expense			(a) 100		100		100			
640	Rent expense	1,000				1,000		1,000			
652	Supplies expense			(b) 1,050		1,050		1,050			
690	Utilities expense	305				305		305			
	Totals	45,300	45,300	3,710	3,710	47,610	47,610	4,365	8,150	43,245	39,460
	Net income (5)							3,785			3,785
	Totals							8,150	8,150	43,245	43,245

(1a) List all accounts from the ledger; include those accounts (shaded in dark green) necessary to make accounting adjustments.

(1b) Enter all amounts available from ledger accounts. Column totals must be equal.

(3) Combine unadjusted trial balance amounts with the adjustments to get the adjusted trial balance amounts. Column totals must be equal.

(4a) Extend all revenue and expense amounts to the income statement columns.

(4b) Extend all asset, liability, capital, and withdrawals amounts to these columns.

(5a) Enter two new lines for the (1) Net income or loss. (2) Totals.

(2) Enter adjustment amounts and use letters to cross-reference debit and credit adjustments. Column totals must be equal.

(5b) First "Totals" row for income statement columns differ by the amount of net income or net loss.

(5c) Net income (loss) is extended to the credit (debit) column.

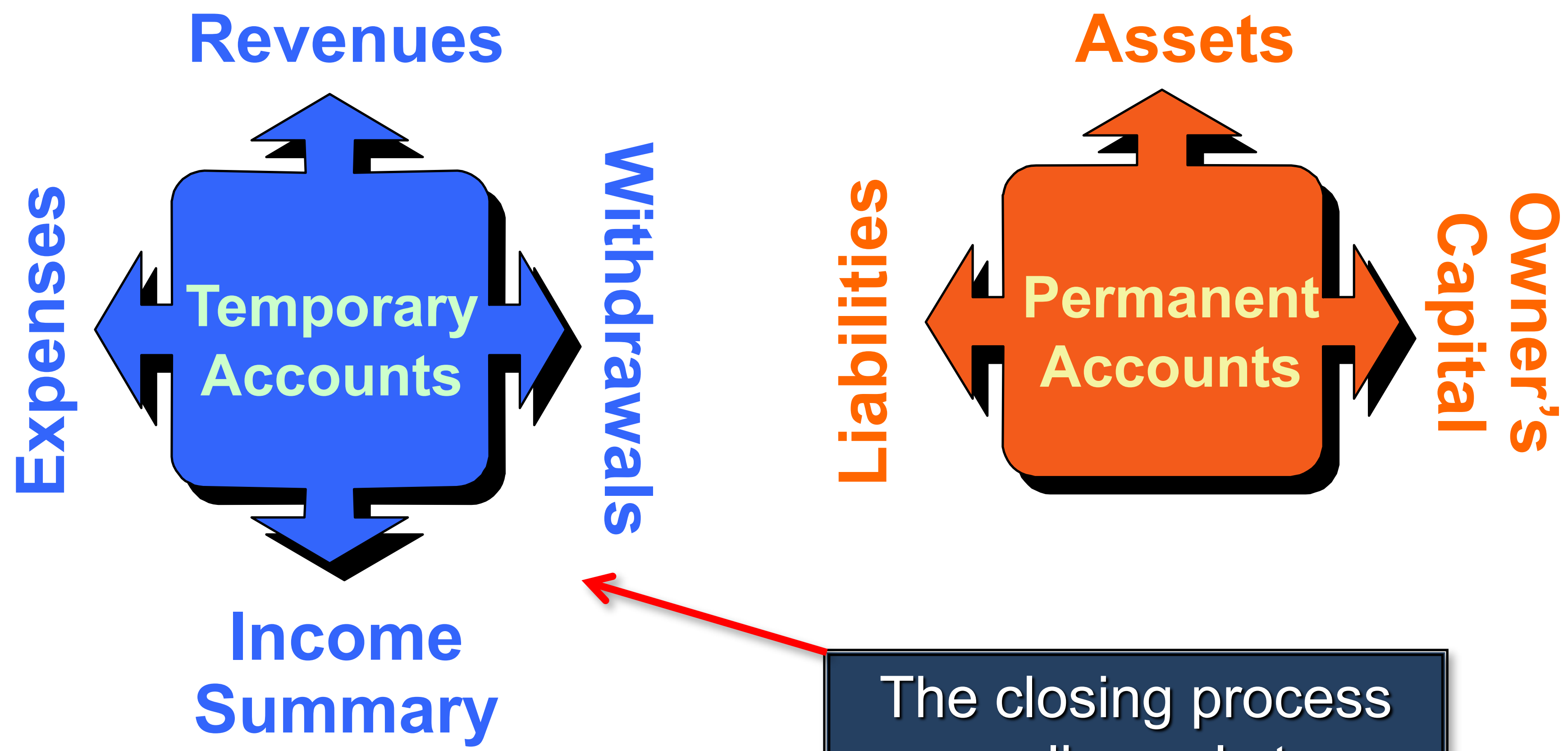
(5d) Ending balance of owner's capital is computed in the statement of owner's equity.

Learning Objective P1: Prepare a work sheet and explain its usefulness.

Learning Objective

C1:
Explain why temporary accounts are closed each period.

Temporary and Permanent Accounts

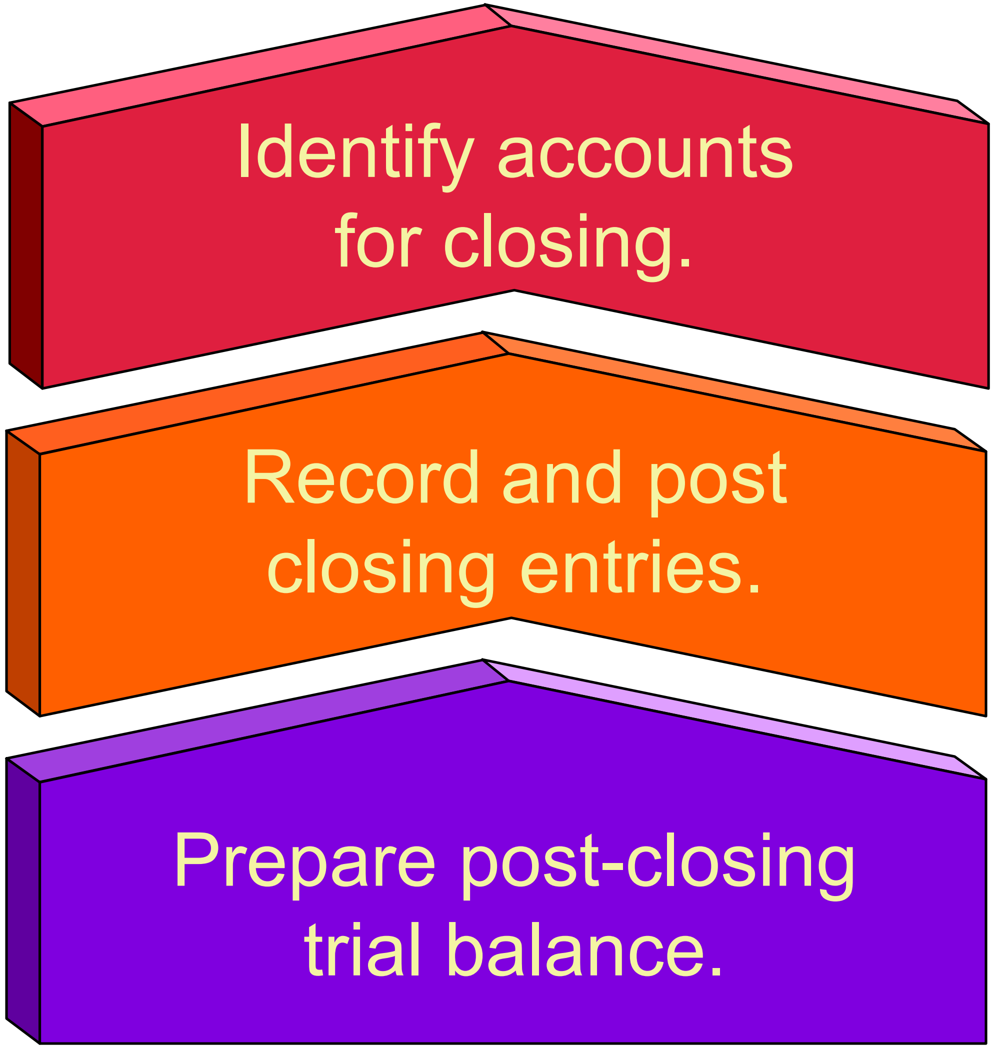


The closing process applies only to temporary accounts.

Learning Objective C1: Explain why temporary accounts are closed each period.

Closing Process

1. Resets revenue, expense, and withdrawal account balances to zero at the end of the period.
2. Helps summarize a period's revenues and expenses in the Income Summary account.



Learning Objective C1: Explain why temporary accounts are closed each period.

Learning Objective

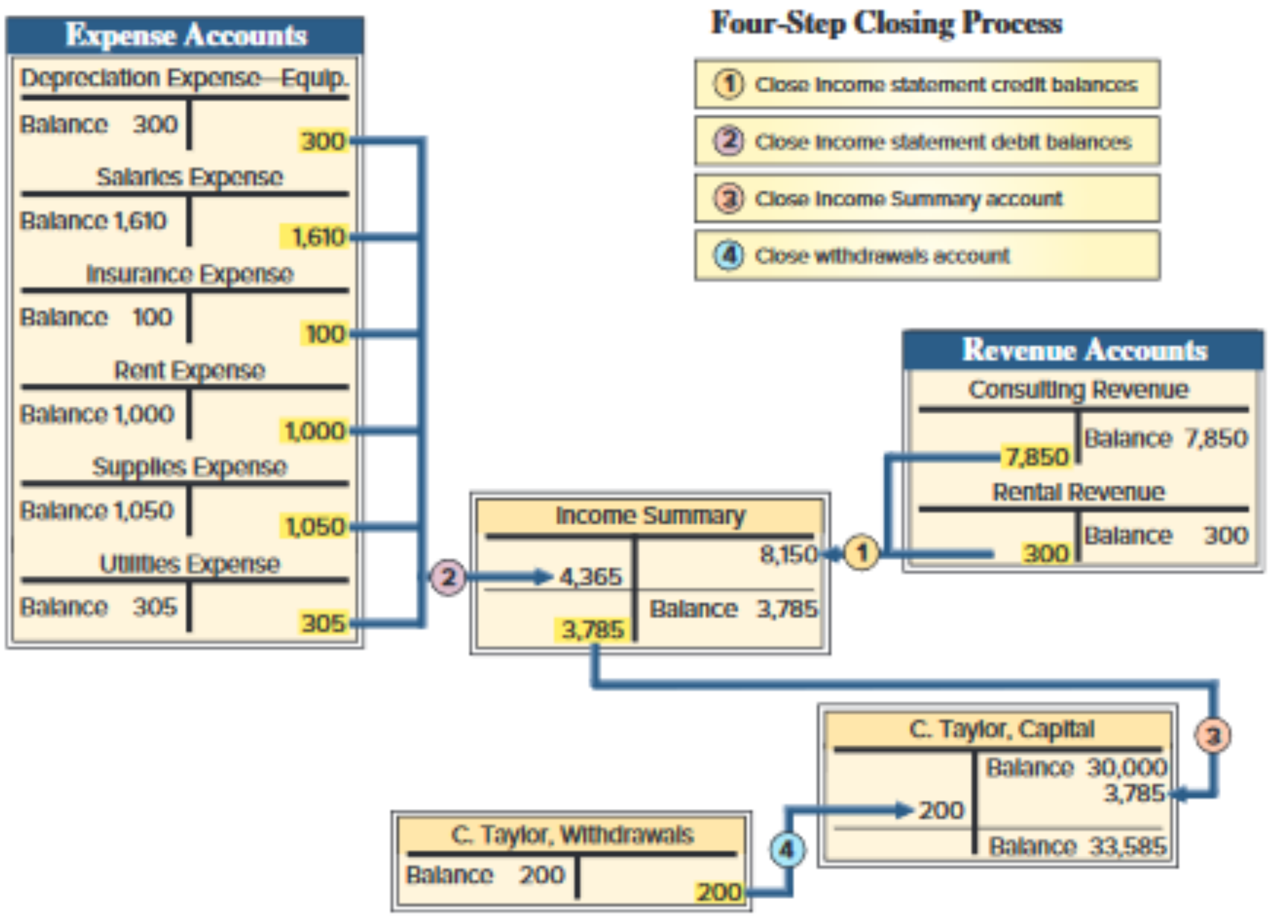
P2:
Describe and prepare closing entries.

Recording Closing Entries

1. Close Credit Balances in Revenue Accounts to Income Summary.
2. Close Debit Balances in Expense accounts to Income Summary.
3. Close Income Summary account to Owner's Capital.
4. Close Withdrawals to Owner's Capital.

Recording Closing Entries

Exhibit 4.3



Learning Objective P2: Describe and prepare closing entries.

Learning Objective

P3:
Explain and prepare a post-closing trial balance.

Post-Closing Trial Balance

- List of permanent accounts and their balances after posting closing entries.
- Total debits and credits must be equal.

Post-Closing Trial Balance

Exhibit 4.6

FASTFORWARD
Post-Closing Trial Balance
December 31, 2017

	Debit	Credit
Cash	$ 4,275	
Accounts receivable	1,800	
Supplies	8,670	
Prepaid insurance	2,300	
Equipment	26,000	
Accumulated depreciation—Equipment		$ 300
Accounts payable		6,200
Salaries payable		210
Unearned consulting revenue		2,750
C. Taylor, Capital*		33,585
Totals	$43,045	$43,045

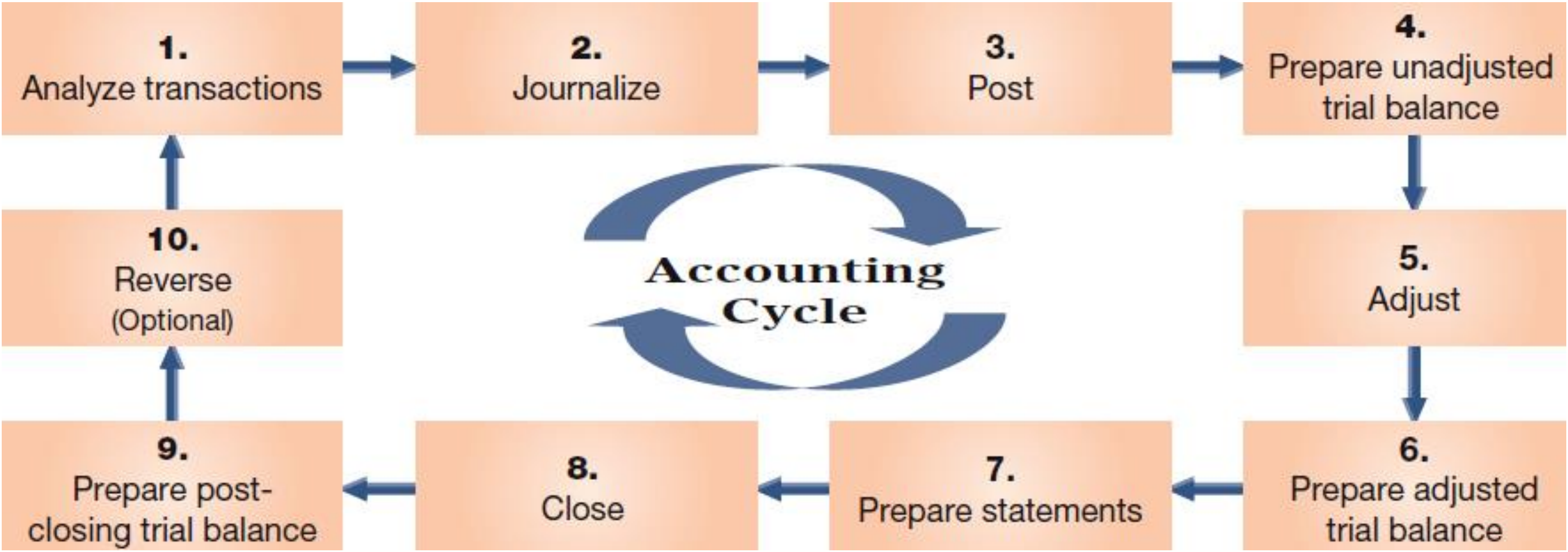
* Computed as $30,000 + $3,785 – $200.

Learning Objective P3: Explain and prepare a post-closing trial balance.

Learning Objective

C2:
Identify steps in the accounting cycle.

Accounting Cycle



Learning Objective C2: Identify steps in the accounting cycle.

Learning Objective

C3:
Explain and prepare a classified balance sheet.

Classified Balance Sheet

Assets	Liabilities and Equity
Current assets	Current liabilities
Noncurrent assets	Noncurrent liabilities
Long-term investments	Equity
Plant assets	
Intangible assets	

Current items are expected to come due (collected and owed) within the longer of one year or the company’s normal operating cycle.

Most operating cycles are less than one year, so most companies use a one year period in deciding what assets and liabilities are current.

Learning Objective C3: Explain and prepare a classified balance sheet.

Current Assets

Current assets are expected to be sold, collected, or used within one year or the company's operating cycle.

Long-Term Investments

Long-term investments are expected to be held for more than one year or the operating cycle.

Learning Objective C3: Explain and prepare a classified balance sheet.

Plant Assets

Plant assets are tangible long-lived assets used to produce or sell products and services.

Learning Objective C3: Explain and prepare a classified balance sheet.

Intangible Assets

Intangible assets are long-term resources used to produce or sell products and services and that lack physical form.

Current Liabilities

Current liabilities are obligations due within the longer of one year or the company's operating cycle.

Long-Term Liabilities

Long-term liabilities are obligations not due within the longer of one year or the company's operating cycle.

Learning Objective C3: Explain and prepare a classified balance sheet.

Equity

Equity is the owner’s claim on the assets.

Learning Objective

A1:
Compute the current ratio and describe what it reveals about a company’s financial condition.

Current Ratio

Helps assess the company's ability to pay its debts in the near future

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

Exhibit 4.11

Limited Brands, Inc.

$ millions	2015	2014	2013	2012	2011	2010
Current assets	$3,232	$3,150	$2,205	$2,368	$2,592	$3,250
Current liabilities	$1,679	$1,826	$1,538	$1,526	$1,504	$1,322
Current ratio	1.9	1.7	1.4	1.6	1.7	2.5
Industry current ratio	1.8	1.7	1.5	1.6	1.7	1.9

Learning Objective A1: Compute the current ratio and describe what it reveals about a company's financial condition.

Learning Objective

P4:

Prepare reversing entries and explain their purpose.

Appendix 4A – Reversing Entries

Reversing entries are optional. They are recorded in response to accrued assets and accrued liabilities that were created by adjusting entries at the end of a reporting period. The purpose of reversing entries is to simplify a company's recordkeeping.

Let's see how the accounting for our payroll accrual will be handled with and without reversing entries.

Learning Objective P4: Prepare reversing entries and explain their purpose.

Reversing Entries

Exhibit 4A.1

Accrue salaries expense on December 31, 2017

Salaries Expense	210	
Salaries Payable		210

Salaries Expense

Date	Expl.	Debit	Credit	Balance
2017				
Dec. 12	(7)	700		700
26	(16)	700		1,400
31	*(e)*	210		1,610

Salaries Payable

Date	Expl.	Debit	Credit	Balance
2017				
Dec. 31	*(e)*		210	210

— OR —

WITHOUT Reversing Entries

No reversing entry recorded on January 1, 2018

NO ENTRY

Salaries Expense

Date	Expl.	Debit	Credit	Balance
2018				

Salaries Payable

Date	Expl.	Debit	Credit	Balance
2017				
Dec. 31	*(e)*		210	210
2018				

WITH Reversing Entries

Reversing entry recorded on January 1, 2018

Salaries Payable	210	
Salaries Expense		210

Salaries Expense*

Date	Expl.	Debit	Credit	Balance
2018				
Jan. 1			210	210

Salaries Payable

Date	Expl.	Debit	Credit	Balance
2017				
Dec. 31	*(e)*		210	210
2018				
Jan. 1		210		0

Learning Objective P4: Prepare reversing entries and explain their purpose.

Reversing Entries

Exhibit 4A.1

Without Reversing Entries

With Reversing Entries

Pay the accrued and current salaries on January 9, the first payday in 2018

Without Reversing Entries

Salaries Expense	490	
Salaries Payable	210	
Cash		700

Salaries Expense

Date	Expl.	Debit	Credit	Balance
2018				
Jan. 9		490		490

Salaries Payable

Date	Expl.	Debit	Credit	Balance
2017				
Dec. 31	*(e)*		210	210
2018				
Jan. 9		210		0

With Reversing Entries

Salaries Expense	700	
Cash		700

Salaries Expense*

Date	Expl.	Debit	Credit	Balance
2018				
Jan. 1			210	210
Jan. 9		700		490

Salaries Payable

Date	Expl.	Debit	Credit	Balance
2017				
Dec. 31	*(e)*		210	210
2018				
Jan. 1		210		0

Under both approaches, the expense and liability accounts have identical balances after the cash payment on January 9.

Salaries Expense	$490
Salaries Payable	$ 0

*Circled numbers in the *Balance* column indicate abnormal balances.

Learning Objective P4: Prepare reversing entries and explain their purpose.

End of Chapter 4